

THE WALT DISNEY COMPANY / 21ST CENTURY FOX

M&A Transaction Summary — Acquisition of Fox Entertainment Assets ("RemainCo")

Independent merger-model analysis · \$ in millions unless stated · recommendation: **CONDITIONALLY APPROVE**

1 TRANSACTION OVERVIEW

Acquirer	The Walt Disney Company	Enterprise value (model)	~\$62,327 (≈\$71.3bn announced)
Target	21st Century Fox — RemainCo	Equity consideration	\$69,456
Announced	December 2017	Consideration mix	51.4% cash / 48.6% stock
Closed	20 March 2019	Cash / stock	\$35,703 / \$33,753
Structure	Double-dummy (TWDC Holdco)	New shares issued	307mm
Acquired cash / assumed debt	\$26,337 / \$19,208	Ownership split	83.0% Disney / 17.0% Fox

EV (model) = equity consideration \$69,456 + assumed debt \$19,208 – acquired cash \$26,337. Headline announced value ~\$71.3bn.

2 STRATEGIC RATIONALE

- **Content scale:** combines Disney + Twentieth Century Fox studios and libraries into a DTC content flywheel; reunites Marvel mutant IP.
- **Hulu control:** 30% → 60% controlling stake — the general-entertainment complement to Disney+ (drives a \$4.67bn remeasurement gain).
- **Streaming strategy:** supplies the content arsenal to launch and scale Disney+, Hulu and ESPN+ against Netflix and other entrants.
- **Franchise IP:** Avatar, X-Men, Deadpool, Fantastic Four, FX and National Geographic — durable, ownable franchises.
- **International expansion:** Star India / Hotstar — a dominant position in one of the world's largest, fastest-growing media markets.

3 SOURCES & USES SUMMARY

Sources	\$mm	Uses	\$mm
New equity issued	33,753	Stock to 21CF holders	33,753
New debt incurred	35,703	Cash to 21CF holders	35,703
Total sources	69,456	Total uses	69,456

Key figures. Total consideration **\$69,456** · cash **\$35,703** · stock **\$33,753** · assumed debt **\$19,208** · goodwill created **\$47,671** (68.6% of price).

4 PURCHASE ACCOUNTING HIGHLIGHTS

Purchase accounting (\$mm)	Amount		
Goodwill — RemainCo	34,897	Film & TV library step-up	10,442
Goodwill — Hulu	12,774	Identifiable intangibles step-up	25,732
Total goodwill	47,671	Hulu remeasurement gain (one-time)	4,669

Source: model PPA tab (preliminary). Step-ups drive ~\$4.3bn/yr of non-cash amortization (~\$1.5/sh after tax) — the root of GAAP dilution.

5 SYNERGY SUMMARY

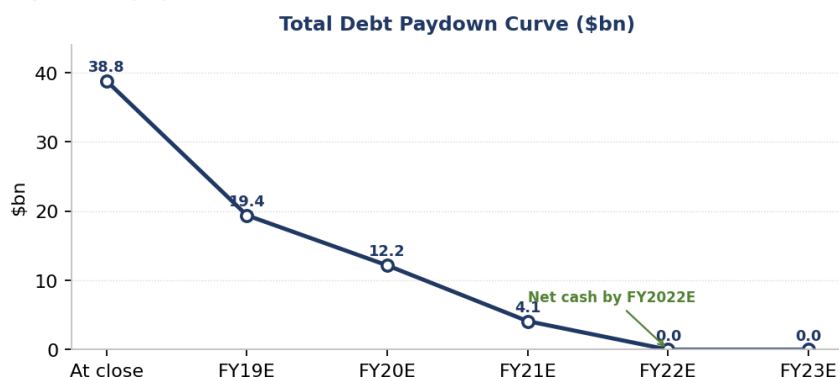
Synergies (\$mm)	FY19E	FY20E	FY21E	FY22E	FY23E
Run-rate cost target	2,000	2,000	2,000	2,000	2,000
Realized (% of run-rate)	10%	50%	90%	100%	100%
Costs to achieve	(560)	(560)	(280)	—	—
Net after-tax benefit	(274)	334	1,155	1,520	1,520

\$2.0bn run-rate vs \$1.4bn one-time CTA. Revenue (DTC) synergies excluded — conservative; FY19E net-negative on front-loaded CTA.

6 DEBT PAYDOWN & DELEVERAGING

Debt & leverage	At close	FY19E	FY20E	FY21E	FY22E	FY23E
Total debt (\$mm)	38,811	19,396	12,164	4,112	—	—
Net debt / EBITDA	—	0.67x	0.33x	0.00x	(0.15)x	(0.14)x

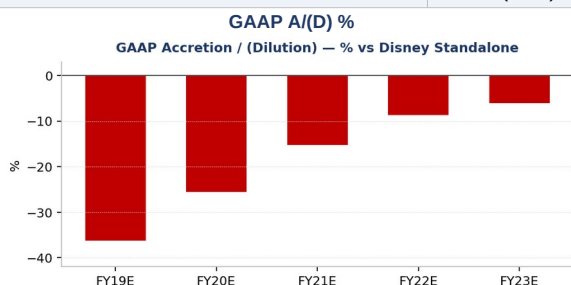
Exhibit — Debt Paydown Curve (model output)



Why it matters. \$13.1bn of RSN divestiture proceeds plus a 50% free-cash-flow sweep retire all acquisition and assumed debt by FY2022E, taking the combined entity to net cash. Deleveraging converts financing from an early-year EPS drag into a tailwind and de-risks the balance sheet ahead of heavy streaming investment.

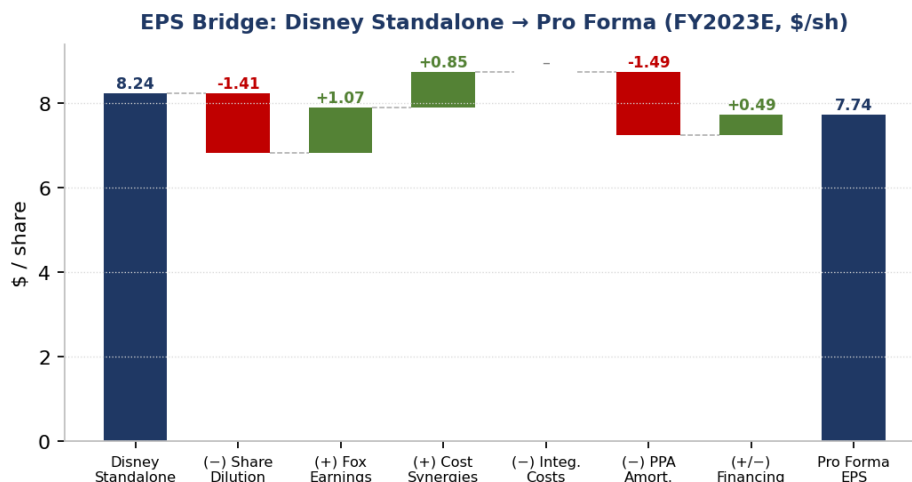
7 ACCRETION / DILUTION ANALYSIS

Accretion / (dilution) %	FY19E	FY20E	FY21E	FY22E	FY23E
GAAP EPS	(36.2)%	(25.6)%	(15.3)%	(8.6)%	(6.1)%
Cash EPS	(10.5)%	(1.6)%	+7.0%	+12.1%	+13.1%



Reading the result. **GAAP dilution** arises from 307mm shares issued plus ~\$4.3bn/yr of non-cash PPA amortization. **Cash accretion** (from FY2021E) reflects the underlying economics once that non-cash amortization is excluded. **Why PPA matters:** the ~\$1.5/sh amortization wedge is the entire gap between the two measures — cash EPS is the economically correct lens.

8 KEY VALUE DRIVERS — FY2023E EPS BRIDGE



Positive drivers (\$/sh)		Negative drivers (\$/sh)	
Fox earnings	+1.07	Share issuance	(1.41)
Cost synergies	+0.85	PPA amortization	(1.49)
Deleveraging	+0.49		

Disney standalone \$8.24/sh → pro forma \$7.74/sh. Two structural negatives (shares, PPA) drive the dilution; three operating positives offset.

9 SENSITIVITY CONCLUSIONS

- **Synergy-robust:** FY2023E cash accretion stays positive across 50%–150% realization (+7.9% to +18.2%); break-even synergy is below zero (~–27%) — accretion does not depend on synergies.
- **Financing-robust:** the new-debt rate moves FY2019E (–9.0% to –13.6% across 2%–6%) but leaves FY2023E unchanged (+13.1%) — debt is fully repaid by FY2020E; break-even rate is below zero.
- **Implication:** the cash-accretion conclusion is driven by deleveraging and Fox earnings, not by optimistic synergy or financing assumptions — a robust base case.

10 FINAL RECOMMENDATION

INVESTMENT RECOMMENDATION: CONDITIONALLY APPROVE

- **Strategic merits:** scaled content, Hulu control, franchise IP and international reach — a scarce, scale-defining platform for direct-to-consumer streaming.
- **Financial merits:** cash-accretive from FY2021E (+13.1% by FY2023E); deleverages to net cash by FY2022E; conclusion robust to synergy and financing sensitivities.
- **Key risks:** full price (~49.8x earnings, 68.6% goodwill, ~\$19bn auction premium); integration execution; DTC monetization (start-up losses sit outside the model).
- **Overall conclusion:** strategically compelling and financially defensible at a full price; GAAP-dilutive but cash-accretive within three years. **Approve, conditioned on** synergy governance, disciplined deleveraging, and ring-fenced DTC investment economics. Net: clear strategic value and modest near-term financial value, with a thin margin of safety.